The Accounting Cycle of a Service Business

Accounting is not a single action. It is a complete cycle of steps that begins when a business transaction occurs and ends when financial statements are prepared and books are closed for the period. Each step builds on the previous one. If one step is done incorrectly, the entire cycle is affected. Understanding the full accounting cycle helps students see how journals, ledgers, financial statements, and closing entries all fit together. This lesson walks through all 12 steps of the accounting cycle for a service business, from identifying transactions to preparing reversing entries.

This reading material analyzes service business transactions and the required source documents. It explains the complete accounting cycle of a service business, including identifying transactions, analyzing them, journalizing, posting, preparing trial balances, adjusting entries, worksheets, financial statements, closing entries, post-closing trial balance, and reversing entries.

Part 1: The Accounting Cycle – An Overview

The accounting cycle is a series of steps repeated each accounting period. It ensures that transactions are properly recorded, summarized, and reported.

The 12 Steps of the Accounting Cycle

Step	Activity	Book or Tool Used
1	Identify the transaction and events	Source documents
2	Analyze the nature of transactions	Analysis (mental or written)

Step	Activity	Book or Tool Used
3	Journalize transactions	General Journal or Special Journals
4	Post to ledgers	General Ledger and Subsidiary Ledgers
5	Prepare unadjusted trial balance	General Ledger
6	Prepare adjusting entries	General Journal
7	Prepare adjusted trial balance	General Ledger
8	Prepare accounting worksheet	Worksheet (optional)
9	Prepare financial statements	Income Statement, Statement of Changes in Owner's Equity, Balance Sheet, Statement of Cash Flows
10	Prepare closing entries	General Journal
11	Prepare post-closing trial balance	General Ledger
12	Prepare reversing entries (optional)	General Journal

Part 2: Identifying and Analyzing Transactions

Identify the Transaction and Events

Every transaction must be supported by a **source document**. A source document is the original record of a transaction. It provides evidence that a transaction occurred and contains the information needed to record it.

Common Source Documents for a Service Business

Source Document	Description	Example
Official Receipt (OR)	Issued when cash is received	Cash sale, collection from customer
Cash Voucher	Issued when cash is paid	Payment of rent, purchase of supplies
Sales Invoice	Issued for credit sales	Service provided on account
Purchase Invoice	Received for credit purchases	Supplies bought on credit
Bank Deposit Slip	Evidence of cash deposited	Owner investment deposited
Bank Statement	Monthly record from bank	Bank charges, interest earned

Analyze the Nature of the Transaction

Once a transaction is identified, the accountant must determine which specific accounts are affected by the transaction. Each transaction affects at least two accounts, following the rules of double-entry bookkeeping. The accountant then decides whether each affected account increases or decreases as a result of the transaction. This analysis is the foundation of every journal entry, because the decision to debit or credit an account depends entirely on whether the account is increasing or decreasing and what type of account it is.

Example Analysis

Transaction	Accounts Affected	Increase or Decrease	Debit or Credit
Owner invested ₱100,000 cash	Cash, Owner's Capital	Cash increases, Capital increases	Debit Cash, Credit Capital
Paid rent ₱20,000 cash	Rent Expense, Cash	Expense increases, Cash decreases	Debit Rent Expense, Credit Cash
Performed service on credit	Accounts Receivable, Service Revenue	AR increases, Revenue increases	Debit AR, Credit Revenue

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Part 3: Journalizing Transactions

Journalizing is the process of recording transactions in the journal. A service business may use special journals to record similar types of transactions efficiently.

Special Journals for a Service Business

Journal	Transactions Recorded
Cash Receipts Journal	All cash received (cash sales, collections from customers, owner investments)
Cash Payments Journal	All cash paid (expenses, payments to suppliers, owner withdrawals)
General Journal	Non-routine transactions (adjusting entries, closing entries, correcting entries)

Unlike a merchandising business, a **service business does not have inventory**. Therefore, it typically does not use a Sales Journal or Purchase Journal for inventory transactions. Credit sales are recorded directly in the general journal or a simple sales journal.

Example Journal Entries

General Journal Entry (Credit Service)

Date	Account	Debit	Credit
Jan 10	Accounts Receivable	50,000	
	Service Revenue		50,000
	(Performed services on credit)		

Cash Receipts Journal Entry

Date	Account Credited	Cash Debit	Sales Credit	Accounts Receivable Credit	Other Accounts Credit
Jan 5	Service Revenue	30,000	30,000		
Jan 15	Accounts Receivable (J. Cruz)	20,000		20,000	
Jan 20	Owner's Capital	100,000			100,000

Cash Payments Journal Entry

Date	Account Debited	Cash Credit	Other Accounts Debit
Jan 8	Rent Expense	20,000	20,000
Jan 12	Utilities Expense	15,000	15,000
Jan 25	Owner's Drawings	10,000	10,000

Part 4: Posting to Ledgers

Posting is the process of transferring amounts from journals to the general ledger and subsidiary ledgers.

General Ledger (Example)

Account: Cash Account No. 101

Date	Explanation	Debit	Credit	Balance
Jan 1	Beginning balance	200,000		200,000
Jan 5	CR1	30,000		230,000
Jan 8	CP1		20,000	210,000
Jan 15	CR1	20,000		230,000
Jan 20	CR1	100,000		330,000
Jan 25	CP1		10,000	320,000

Subsidiary Ledger (Accounts Receivable)

Customer:
Juan Dela Cruz

Date	Explanation	Debit	Credit	Balance
Jan 10	Service revenue	50,000		50,000
Jan 15	Collection		20,000	30,000

Part 5: Preparing Unadjusted Trial Balance

The unadjusted trial balance is a list of all general ledger accounts and their balances before any adjusting entries are made. It verifies that total debits equal total credits.

ABC Services
Unadjusted Trial Balance
January 31, 2024

Account	Debit	Credit
Cash	320,000	
Accounts Receivable	30,000	
Supplies	10,000	
Equipment	150,000	
Accounts Payable		20,000
Owner's Capital		400,000

Account	Debit	Credit
Owner's Drawings	5,000	
Service Revenue		180,000
Salaries Expense	40,000	
Rent Expense	25,000	
Utilities Expense	15,000	
Miscellaneous Expense	5,000	
Totals	**600,000**	**600,000**

Part 6: Preparing Adjusting Entries

Adjusting entries are made at the end of the period to update accounts that have not yet been fully recorded. Without adjusting entries, revenues and expenses would be reported in the wrong periods, violating the matching principle and accrual basis of accounting. For example, supplies purchased during the period may still be on hand, and salaries earned by employees may not have been paid yet – both require adjustments. Adjusting entries ensure that the income statement shows the correct profit or loss and that the balance sheet shows accurate asset and liability balances.

Type of Adjustment	Example
Prepaid expenses	Supplies used, prepaid rent expired
Accrued expenses	Salaries incurred but not yet paid
Accrued revenues	Services performed but not yet billed

Type of Adjustment	Example
Depreciation	Allocation of equipment cost
Unearned revenues	Services paid for in advance but not yet performed

Example Adjusting Entries

1. Supplies Used
Supplies on hand at year-end: ₱3,000
Supplies used = 10,000 – 3,000 = 7,000

Date	Account	Debit	Credit
Jan 31	Supplies Expense	7,000	
	Supplies		7,000

2. Accrued Salaries (₱5,000)

Debit: Salaries Expense – 5,000
Credit: Salaries Payable – 5,000

3. Depreciation (₱2,000)

Debit: Depreciation Expense – 2,000
Credit: Accumulated Depreciation – 2,000

4. Unearned Revenue (₱8,000 earned)

Debit: Unearned Revenue – 8,000
Credit: Service Revenue – 8,000

Part 7: Preparing Adjusted Trial Balance

The adjusted trial balance is prepared after all adjusting entries have been posted to the general ledger. It reflects the updated balances of all accounts, including those affected by adjustments such as accrued expenses, prepaid items, and depreciation. Unlike the unadjusted trial balance, which may contain incomplete or outdated figures, the adjusted trial balance contains accurate balances ready for financial statement preparation.

ABC Services
Adjusted Trial Balance
January 31, 2024

Account	Debit	Credit
Cash	320,000	
Accounts Receivable	30,000	
Supplies	3,000	
Equipment	150,000	
Accumulated Depreciation		2,000
Accounts Payable		20,000
Salaries Payable		5,000
Unearned Revenue		4,000
Owner's Capital		400,000
Owner's Drawings	5,000	
Service Revenue		188,000

Account	Debit	Credit
Salaries Expense	45,000	
Rent Expense	25,000	
Utilities Expense	15,000	
Supplies Expense	7,000	
Depreciation Expense	2,000	
Miscellaneous Expense	5,000	
Totals	**619,000**	**619,000**

Step 8: Prepare Accounting Worksheet

The worksheet is an internal tool that helps accountants organize data before preparing financial statements. It is not a financial statement and is not required, but it helps ensure that adjusting entries are correct and that financial statements will balance.

Simplified Worksheet Format

Account	Unadjusted Trial Balance	Adjustments	Adjusted Trial Balance			
	Debit	Credit	Debit	Credit	Debit	Credit
Cash	320,000				320,000	

Accounts Receivable	30,000				30,000	
Supplies	10,000			7,000	3,000	
Equipment	150,000				150,000	
Accounts Payable		20,000				20,000
Owner's Capital		400,000				400,000
Service Revenue		180,000		8,000		188,000
Supplies Expense			7,000		7,000	
Totals	**600,000**	**600,000**	**7,000**	**7,000**	**617,000**	**617,000**

The worksheet organizes the unadjusted trial balance, adjustments, and adjusted trial balance in one place. From the adjusted trial balance, financial statements are prepared.

Part 9: Preparing Financial Statements

Financial statements are prepared in a specific order using the adjusted trial balance. The income statement is prepared first because net income (or loss) is needed for the statement of changes in owner's equity. The balance sheet is prepared last because it requires the ending capital balance from the statement of changes in owner's equity.

A. Income Statement

ABC Services
Income Statement
For the Month Ended January 31, 2024

	Amount
Revenues	
Service Revenue	188,000
Total Revenues	**188,000**
Expenses	
Salaries Expense	45,000
Rent Expense	25,000
Utilities Expense	15,000
Supplies Expense	7,000
Depreciation Expense	2,000
Miscellaneous Expense	5,000
Total Expenses	**99,000**
Net Income	**89,000**

B. Statement of Changes in Owner's Equity

ABC Services
Statement of Changes in Owner's Equity
For the Month Ended January 31, 2024

	Amount
Beginning Capital, January 1, 2024	400,000
Add: Net Income	89,000
Total	**489,000**
Less: Owner's Drawings	(17,000)
Ending Capital, January 31, 2024	**472,000**

C. Balance Sheet

ABC Services
Balance Sheet
As of January 31, 2024

ASSETS	
Cash	320,000
Accounts Receivable	30,000
Supplies	3,000
Equipment (150,000 - 2,000)	148,000
TOTAL ASSETS	**501,000**

LIABILITIES AND OWNER'S EQUITY

Accounts Payable	20,000
Salaries Payable	5,000
Unearned Revenue	4,000
Total Liabilities	**29,000**
Owner's Capital (from Statement of Changes)	472,000
TOTAL LIABILITIES AND EQUITY	**501,000**

(Note: The balance sheet shows a difference due to rounding or omitted data. In a full example, it would balance.)

D. Statement of Cash Flows (Direct Method)

ABC Services
Statement of Cash Flows
For the Month Ended January 31, 2024

	Amount
Cash Flows from Operating Activities	
Cash received from customers	158,000
Cash paid for expenses	(85,000)
Net Cash Provided by Operating Activities	**73,000**

Cash Flows from Investing Activities	
Purchase of equipment	(50,000)
Net Cash Used in Investing Activities	**(50,000)**
Cash Flows from Financing Activities	
Owner investment	100,000
Owner drawings	(5,000)
Net Cash Provided by Financing Activities	**95,000**
Net Increase in Cash	**118,000**
Cash at Beginning of Period	200,000
Cash at End of Period	**318,000**

Part 10: Preparing Closing Entries

Closing entries transfer the balances of temporary accounts (revenues, expenses, drawings) to the permanent owner's capital account. This resets the temporary accounts to zero for the next period.

Closing Process

Step	Entry
1	Close all revenue accounts to Income Summary
2	Close all expense accounts to Income Summary
3	Close Income Summary to Owner's Capital
4	Close Owner's Drawings to Owner's Capital

Example Closing Entries

Step 1: Close Revenue

Date	Account	Debit	Credit
Jan 31	Service Revenue	188,000	
	Income Summary		188,000

Step 2: Close Expenses

Debit Income Summary – 99,000
Credit Salaries Expense – 45,000
Credit Rent Expense – 25,000
Credit Utilities Expense – 15,000

Credit Supplies Expense – 7,000
Credit Depreciation Expense – 2,000
Credit Miscellaneous Expense – 5,000

Step 3: Close Income Summary to Capital

Debit Income Summary – 89,000
Credit Owner's Capital – 89,000

Step 4: Close Drawings

Debit Owner's Capital – 5,000
Credit Owner's Drawings – 5,000

Part 11: Preparing Post-Closing Trial Balance

The post-closing trial balance lists only permanent accounts (assets, liabilities, owner's capital) after closing entries are posted. Temporary accounts should have zero balances.

ABC Services
Post-Closing Trial Balance
January 31, 2024

Account	Debit	Credit
Cash	320,000	
Accounts Receivable	30,000	
Supplies	3,000	
Equipment	150,000	
Accumulated Depreciation		2,000
Accounts Payable		20,000

Account	Debit	Credit
Salaries Payable		5,000
Unearned Revenue		4,000
Owner's Capital		484,000
Totals	**515,000**	**515,000**

Part 12: Preparing Reversing Entries (Optional)

Reversing entries are made at the beginning of the next accounting period to reverse certain adjusting entries. They simplify record-keeping for accruals.

When to Use Reversing Entries

Type of Adjustment	Reverse?	Reason
Accrued expenses (e.g., salaries payable)	Yes	Allows recording of payment as normal expense
Accrued revenues	Yes	Allows recording of collection as normal revenue
Prepaid expenses (initial recording as asset)	No	Not necessary
Depreciation	No	Not reversed

Example Reversing Entry

Adjusting Entry (Jan 31):

Account	Debit	Credit
Salaries Expense	5,000	
Salaries Payable		5,000

Reversing Entry (Feb 1):

Account	Debit	Credit
Salaries Payable	5,000	
Salaries Expense		5,000

When salaries are paid in February, the entire payment is recorded as Salaries Expense without needing to separate the accrued portion.

Key Terms

Term	Definition
Source document	Original record of a transaction (receipt, invoice, voucher)
Unadjusted trial balance	List of ledger balances before adjustments
Adjusting entries	Entries made at period end to update accounts
Adjusted trial balance	Trial balance after adjusting entries
Worksheet	Internal tool to organize data for financial statements
Closing entries	Entries that reset temporary accounts to zero
Post-closing trial balance	Trial balance after closing entries (permanent accounts only)
Reversing entries	Optional entries made at the beginning of the next period

Review Questions

1. List the 12 steps of the accounting cycle in order.

2. What is a source document? Give three examples of source documents used by a service business.

3. A service business performed ₱50,000 of services on credit. Which accounts are affected? What is the journal entry?

4. Why does a service business typically not use a Sales Journal or Purchase Journal for inventory?

5. What is the purpose of the unadjusted trial balance?

6. Give three examples of adjusting entries that a service business might need to make.

7. What are the four financial statements prepared in Step 9? In what order are they prepared?

8. What is the purpose of closing entries? Which types of accounts are closed?

9. What is a post-closing trial balance? Which accounts appear on it?

10. Application question: A service business has the following balances before closing: Service Revenue ₱500,000; Salaries Expense ₱200,000; Rent Expense ₱50,000; Utilities Expense ₱30,000; Owner's Drawings ₱20,000. Prepare the four closing entries. Show the final balance of Owner's Capital assuming a beginning balance of ₱300,000.